

Regulatory Environment

Banks operate within a highly regulated environment shaped by multiple layers of oversight, spanning supranational, national, and sector-specific regulators. These authorities establish rules to maintain financial stability, protect consumers, ensure fair competition, and prevent financial crime.

Supranational Regulators & Regulation

BCBS

At the highest level, banks are influenced by supranational regulatory bodies that set global or regional standards. The [Basel Committee on Banking Supervision \(BCBS\)](#), hosted by the [Bank for International Settlements \(BIS\)](#), issues internationally recognised frameworks such as [Basel III](#). Although not legally binding, these standards are adopted into national legislation and enforced by domestic regulators.

Each jurisdiction may require additional buffers beyond the Basel requirements.

FSB

Globally Systemically Important Banks (G-SIBs) are subject to heightened regulatory scrutiny due to their potential impact on the wider financial system. Globally, these are monitored under frameworks developed by the [Financial Stability Board \(FSB\)](#). In the EU, the Single Resolution Board (SRB) oversees recovery and resolution planning for significant institutions, ensuring that no bank is “too big to fail.” In South Africa, SARB plays a similar role, identifying domestic systemically important banks (D-SIBs) and imposing additional capital surcharges and resolution requirements.

National Regulators & Regulation

Each jurisdiction applies these international standards through its national regulators. In South Africa, the [South African Reserve Bank \(SARB\)](#) is the primary prudential regulator responsible for maintaining financial stability and supervising banks. In the United Kingdom, the regulatory framework follows the Twin Peaks model similar to South Africa with the [Bank of England](#) being the main regulator.

The regulators can increase the required capital depending on a bank's risk assets, thereby ensuring that an adequate amount of capital and reserves is maintained to safeguard the bank's solvency.

Aims of Regulation

There are 4 aims/goals of regulation namely to:

- Maintain financial stability;
- Protect the consumer;
- Prevent financial crime; and
- Ensure fair competition.

Financial Stability Maintenance

It ensures that banks maintain adequate capital and liquidity buffers in line with Basel standards. The [Prudential Authority \(PA\)](#), which operates within SARB, oversees the safety and soundness of financial institutions through the implementation of the [Banks Act](#), while the Financial Sector Conduct Authority (FSCA) regulates market conduct and consumer protection.

The [Prudential Regulation Authority \(PRA\)](#) — part of the Bank of England — is responsible for prudential supervision, focusing on the safety and resilience of banks, insurers, and major investment firms. The latest regulation that is being amended is the [CRR Near Final Requirements](#). The Financial Policy Committee (FPC) within the Bank of England also plays a macroprudential role, identifying systemic risks and ensuring the stability of the UK financial system as a whole.

In the European Union, the European Central Bank (ECB) and the [European Banking Authority \(EBA\)](#) play central roles in harmonising banking regulation by implementing the [Capital Requirements Regulation \(CRR\)](#). The ECB, through the Single Supervisory Mechanism (SSM), directly supervises significant banks in the euro area, ensuring that they comply with EU prudential requirements. The EBA develops technical standards and conducts stress testing to promote consistency across member states.

Consumer Protection

Consumer protection is a key pillar of banking regulation. In South Africa, the [Financial Sector Conduct Authority \(FSCA\)](#) regulates market conduct and consumer protection. The FSCA ensures that financial products and services are sold fairly and transparently, enforcing principles such as Treating Customers Fairly (TCF). The FSCA enforces consumer-centric legislation such as the Financial Advisory and Intermediary Services (FAIS) Act, which governs how financial advice and intermediary services are offered. The National Credit Act (NCA) regulates the granting of credit, aiming to promote responsible lending and prevent over-indebtedness.

Meanwhile, in the UK the [Financial Conduct Authority \(FCA\)](#) oversees market conduct, ensuring firms act in consumers' interests, maintain integrity in markets, and promote competition.

Deposit Protection

Deposit protection is provided through the Corporation for Deposit Insurance (CoDI), a newly established entity under SARB, which ensures that depositors are protected in the event of a bank failure. Similarly, in the UK, the Financial Services Compensation Scheme (FSCS) guarantees deposits up to £85,000 per customer per bank, fostering trust in the financial system.

Data Protection

In addition to financial regulations, banks must comply with data protection and privacy laws. In South Africa, this is governed by the Protection of Personal Information (PoPI) Act, which aligns closely with the EU's General Data Protection Regulation (GDPR). These laws regulate how banks collect, store, and process customer data, requiring transparency and explicit consent from clients.

Financial Crime Prevention

In South Africa, complementary legislation such as the Financial Intelligence Centre Act (FICA) enforces anti-money laundering (AML) and Know Your Customer (KYC) obligations, while the National Payment System (NPS) Act governs the integrity and efficiency of payment systems.

Fair Competition

Further, banks are subject to a range of national legislation. In South Africa, the Companies Act (2008) applies to all corporate entities, while the Banks Act imposes additional governance and capital requirements specific to banks. The Financial Sector Regulation Act (FSR Act) formally introduced the Twin Peaks regulatory model, separating prudential and conduct oversight.